

(CLOCKWISE FROM RIGHT) POWER IPO FROM ANIL AMBANI; FEAR OF FLYING BRINGS KINGFISHER'S VIJAY MALLYA AND JET'S NARESH GOYAL TOGETHER; SMART SELLER MALVINDER SINGH WITH DAIICHI SANKYO CEO; JAGUAR LAND ROVER GETS A NEW PARENT IN TATA



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AFP



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worth over Rs 5,00,000 crore are stalled at various stages, thanks to the sloth that rules the Government. Just one statistic should prove the point: a Credit Suisse study says almost 50 per cent of projects worth \$190 billion are delayed because of land acquisition issues and 20 per cent due to regulatory hurdles.

Sure, stimulus packages are good and the fall in crude and commodity prices will help, but it will take more than a few billion dollars for the India Story to be revived and sustained. The economy is too shallow to sustain the 9-per cent dream. Its infrastructure is pathetic and social indices abysmal. The doubling of social sector spending from Rs 1,53,454 crore in 2004 to Rs 2,94,412 crore in 2008 is good but we don't know yet if outlays are translating into outcomes. The challenges India faces now are the flip-side of squandered opportunities. The good news is that all of this is doable and perhaps India as always awaited a crisis to do the right thing. The bad news is that politics may yet overtake economics with polls round the corner. Either ways 2009 promises to be a rough ride. Tighten your, well, seatbelts. ■

prescription. The cause of the crisis was the easy money Greenspan regime. Now with interest rates down to zero in the US and Japan, the world is re-investing trust in an easy money regime as the cure. Stimulus, the noun, has entered the economic verbiage and virtually every economy from the US to China and Japan has engineered packages for revival, now valued at over \$3.5 trillion.

India may choose to describe itself as being different but it couldn't shy away from intervention. Thanks to the predominantly public sector ownership of the financial sector, it escaped a direct hit but it could not avoid collateral damage. Add to this the terrorising impact of the Mumbai attacks. The economic landscape now is littered with

signs of distress. Sliding sales, plummeting profits, blank hoardings, sub-optimal occupancy in hotels and airlines and a loss of million jobs forced the Government out of denial. You could argue that the bubble was the result of irrational exuberance but there is no escaping the fact that the trap India finds itself in is perhaps of its own making.

Inflation essentially was the result of intellectual and institutional apathy, the inability to push reforms to create room for absorption of capital. This would have deepened demand and helped create jobs and spur growth. But it didn't happen. If the worth of listed equity quadrupled and Sensex shot up to 21,206, it was because too much money was chasing too little quality. On the ground, investments

AS THE WORLD WOKE TO A POSSIBLE SLOWDOWN, INDIA WAS BATTLING INFLATION. THE POLITICAL OBJECTIVE OF KEEPING INFLATION LOW CRIPPLED THE ECONOMIC OBJECTIVE OF GROWTH.